

The Directors of Home Afrika limited are pleased to announce the unaudited Group results for the 6 Months period ended 30<sup>th</sup> June 2016

## (A). CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

|                                                | 6 Months to 30 June |                   |
|------------------------------------------------|---------------------|-------------------|
|                                                | 2016<br>Shs '000'   | 2015<br>Shs '000' |
| <b>Revenue</b>                                 | <b>54,346</b>       | <b>216,843</b>    |
| Cost of sales                                  | (38,286)            | (219,820)         |
| <b>Gross profit /(loss)</b>                    | <b>16,060</b>       | <b>(2,977)</b>    |
| Other operating income                         | 5,473               | 39,832            |
| Selling and distribution expenses              | (7,025)             | (21,753)          |
| Administration expenses                        | (41,611)            | (63,284)          |
| Other operating expenses                       | (15,957)            | (11,186)          |
| <b>Operating loss</b>                          | <b>(43,060)</b>     | <b>(59,368)</b>   |
| Finance costs                                  | (53,958)            | (52,740)          |
| <b>Loss for the period</b>                     | <b>(97,018)</b>     | <b>(112,108)</b>  |
| Tax charge                                     | (2,396)             | (6,247)           |
| <b>Total Comprehensive Loss for the period</b> | <b>(99,414)</b>     | <b>(118,355)</b>  |
| <b>Profit attributable to:</b>                 |                     |                   |
| -Owners of the parent                          | (96,468)            | (112,997)         |
| -Non –controlling interest                     | (2,946)             | (5,358)           |
|                                                | <b>(99,414)</b>     | <b>(118,355)</b>  |
| <b>(Loss)/earnings per share</b>               |                     |                   |
| -basic and diluted                             | (0.24)              | (0.28)            |

## (B). CONDENSED STATEMENT OF FINANCIAL POSITION

|                                              | As at June<br>2016<br>Shs'000' | As at December<br>2015<br>Shs '000' |
|----------------------------------------------|--------------------------------|-------------------------------------|
| <b>CAPITAL EMPLOYED</b>                      |                                |                                     |
| Share capital                                | 405,255                        | 405,255                             |
| Share premium                                | 68,842                         | 68,842                              |
| Accumulated deficit                          | (649,285)                      | (552,816)                           |
| Equity attributable to owners of the company | (175,188)                      | (78,719)                            |
| Non –Controlling interest                    | 34,065                         | 37,010                              |
| Non- current liabilities                     | 767,995                        | 773,420                             |
|                                              | <b>626,872</b>                 | <b>731,711</b>                      |
| <b>REPRESENTED BY</b>                        |                                |                                     |
| Non-current assets                           | 798,164                        | 801,416                             |
| Current assets                               | 3,106,981                      | 3,060,900                           |
| Current liabilities                          | (3,278,273)                    | (3,130,605)                         |
| Net current assets                           | 171,292                        | 69,705                              |
|                                              | <b>626,872</b>                 | <b>731,711</b>                      |

**Explanatory notes:** These results are extracted from the unaudited consolidated financial statements of Home Afrika Limited for the 6 months

### FINANCIAL HIGHLIGHTS

The Group narrowed its losses by 16% from Kshs. 118Million to Kshs. 99Million respectively in the six months through June 2016 compared to the same period last year.

The Group restructuring and Cost rationalization measures began to bear fruit with a significant reduction in the operating expenses by 33% from Kshs. 96Million to Kshs. 65Million in the six months through June 2016 compared to the same period last year. The book value (reported at cost) of the inventories available for sale went up by Kshs. 50Million from Kshs.2.91Billion in 2015 to Kshs. 2.96Billion in 2016. The value of our inventory at the completion of the project is estimated at Shs Kshs. 6Billion.

Deferred income and deposits from sale of plots grew by Kshs. 89Million from Kshs. 1.76Billion to Kshs. 1.84Billion. These represent revenue to be recognized in the income statement in subsequent period pro-rata to the ongoing infrastructure works at site based on percentage of completion.

The directors remain confident of the substantial underlying long term value and profit generation in the periods ahead.

The directors do not recommend a dividend for the period ending 30<sup>th</sup> June 2016

**Dan Awendo**  
**Managing Director**  
30<sup>th</sup> August, 2016